

Review the form of compensation that you receive in your place of work. For example, if you find that a significant portion of your compensation is received in the form of company stocks and options, then your total capital may be poorly diversified because the bulk of your human capital already rests with your place of work. Instead, and according to the main idea of diversification that I mentioned earlier, your invested assets should zig when your salary zags. If you find yourself in the situation in which your human capital and financial capital are zigging and zagging together, change the composition of one of them! Change your asset allocation, tilt your financial portfolio away from your human capital. Get compensated differently and revisit the structure of your 401k.

Alternatively in the other direction, your human capital can be viewed as a hedge against losses in your financial capital. Remember that over time, the probability that your diversified stock portfolio will earn less than a risk-free money market fund or bank account will decline. However, as you saw from the figures and tables, over a 30-year horizon there is still a chance you will do worse. However, and this is one of the key messages from this chapter, even if markets do not perform as well as expected and even if returns are not as good as in the past, you always have the option to continue working, save more, and perhaps cut down on your spending and expenses. Sure, this is not an ideal to aim for or something to aspire to, but let's be honest here. It is an option. This itself is valuable and can be used as a hedge against investment risk. Remember, after you are retired and moving toward the end of the life cycle, this option is not readily available and can't be relied upon to smooth out the investment bumps in the market. But in the accumulation or saving-for-retirement phase, it is definitely a reliable crutch.

So, as a 50-, 40-, or especially 30-year-old, you should be willing to take more chances with your total portfolio, perhaps even borrow to invest or leverage into the stock market, because you have the ability to mine more human capital if needed. Practically speaking, if your career and investments work out well, you can retire (or reduce your work load) at the age of 65. However, if you happen to get unlucky, you can delay your retirement by a few years and make up the lost market returns with more human capital. Again, this is not an ideal situation and not something you want to aim for in advance, but it's a fall-back strategy that also diversifies your total portfolio.